Ministry of Education, Sports and Youth Affairs

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JANUARY 2011

CARIBBEAN EXAMINATIONS COUNCIL

SECONDARY EDUCATION CERTIFICATE EXAMINATION

PRINCIPLES OF ACCOUNTS

Paper 02 – General Proficiency

3 hours

06 JANUARY 2011 (a.m.)

1025

1. Answer ALL the questions in Section I and TWO questions from Section II.

2. Begin EACH answer on a separate page.

3. Keep ALL parts of EACH answer together.

4. Silent electronic calculators may be used, but ALL necessary working should be clearly shown.

5. EACH question is worth 20 marks.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

SECTION I

Answer the THREE questions in this section.

1. The owner of JZ Variety Store begins his business on May 1, 2010. He recorded all transactions in a General Journal. The following are the records for the first month of business:

JZ Variety Store
General Journal

Date 2010	Details	Dr ($)	Cr ($)
May 1	Bank a/c	50 000	
	Premises	101 000	
	Motor vans a/c	24 000	
	Capital a/c		175 000
May 2	Equipment a/c	40 000	
	Equipco Ltd a/c		40 000
May 5	Electricity a/c	2 400	
	Bank a/c		2 400
May 8	Sam's Used Cars a/c	12 000	
	Bank a/c	12 000	
	Motor van a/c		24 000
May 14	Motor van	30 000	
	Bank		30 000
May 15	Purchases a/c	20 000	
	Bevy Distributors a/c		20 000
May 20	Fixtures a/c	20 000	
	Wood Products Ltd a/c		20 000
May 25	Wages a/c	4 400	
	Bank a/c		4 400
May 26	Bevy's Distributors a/c	1 200	
	Returns Outwards		1 200
May 30	Bank	25 000	
	Sales		25 000

At the end of the month, JZ records a closing stock of $5 000.

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(a) Write the narratives required to complete the entries on May 1, May 8 and May 25. **(3 marks)**

(b) (i) Identify THREE journals (day books), other than the General Journal which JZ Variety Store can use.

(ii) Explain the use of EACH journal (day book) identified in (b) (i) above. **(6 marks)**

(c) From the information in the General Journal, draw up a Trading and Profit and Loss Account for JZ Variety Store for the month of May 2010. **(7 marks)**

(d) List the creditors and debtors of JZ Variety Store as at May 31, 2010. **(4 marks)**

Total 20 marks

2. C. Wynn and T. Bain's partnership deed states the following:

Interest on capital – 10% per year on capital at start of the year

Interest on drawings – 10% per year on all partners' drawings

Monthly salaries – C. Wynn $1 200; T. Bain $800

The partnership extracted the following trial balance for the year ended December 31, 2010 after calculating **net profit before interest on the Loan from T. Bain**.

	$	$
Profit before Interest		39 100
Stock December 31, 2010	4 200	
Land and Buildings after depreciation	56 900	
Prepaid Insurance	800	
Motor vehicles after depreciation	28 680	
Accounts Receivable	7 420	
C. Wynn's Capital Account		35 000
C. Wynn's Current Account	750	
C. Wynn's drawings	12 700	
Bank overdraft		8 300
Creditors		4 440
Rent owing		2 160
T. Bain's Current Account		1 750
T. Bain's Capital Account		25 000
T. Bain's 2 year, 4% Loan		5 000
T. Bain's drawings	9 300	
	120 750	120 750

(a) Prepare the Appropriation Account for C. Wynn and T. Bain for the year ended December 31, 2010. **(Show all working clearly)** **(11marks)**

(b) Using columnar style, prepare the Current Accounts for C. Wynn and T. Bain. **(7 marks)**

(c) Draw up a statement showing the net worth of EACH partner as at December 31, 2010. **(2 marks)**

Total 20 marks

3. (a) As at November 30, 2010 the following personal account balances existed in the Sales and Purchases Ledgers of Smallmoon Enterprises.

	Sales Ledger
Marshall	$32 500
	Purchases Ledger
Hamilton	$19 290

The following information was extracted from the company's day books for the month of December 2010:

Sales Day Book

2010		$
Dec 4	Marshall	25 200
Dec 21	Marshall	8 002

Purchases Day Book

2010		$
Dec 6	Hamilton	3 150
Dec 29	Hamilton	2 250

Sales Returns Day Book

2010		$
Dec 6	Marshall	3 100

Purchases Returns Day Book

2010		$
Dec 11	Hamilton	415

CASH BOOK

Date	Details	Bank	Date	Details	Bank
2010 Dec 1	Bal b/d	$ 5 200	2010 Dec 28	Hamilton for Credit Purchases	$ 15 000
Dec 23	Marshall for Cash Sales	400	Dec 28	Hamilton for Cash Purchases	500
Dec 23	Marshall for Credit Sales	26 000	Dec 31	Bal c/d	16 100
		31 600			31 600
2011 Jan1	Bal b/d	16 100			

(i) Prepare and balance the personal accounts appearing in the ledgers of Smallmoon Enterprises as at December 31, 2010. **(9 marks)**

(ii) Prepare and CLOSE the Sales and Purchases Accounts in the General Ledger of Smallmoon Enterprises as at December 31, 2010. **(4 marks)**

(b) The following balances were taken from the books of Metal Works Enterprises on April 30, 2010. **An inexperienced bookkeeper placed some items in the wrong column.**

	Dr ($)	Cr ($)
Land and building	68 000	
Bank overdraft	6 500	
Cash on hand	3 200	
Accounts receivable	49 000	
Carriage inwards	1 500	
Carriage outwards		2 700
Accounts payable		38 250
Rent received	10 200	
Motor vehicles	36 000	
Allowance for depreciation of motor vehicles		12 000
Purchases returns	600	
Sales returns		1 100
Commission paid	1 600	
Loans		25 000
Sales		105 400
Purchases	90 000	
Drawings		6 200
Salaries	12 500	

Rewrite the Trial Balance for Metal Works Enterprises in good style, including an amount for capital. **(7 marks)**

Total 20 marks

SECTION II

Answer any TWO questions in this section.

4. Mr Best prepared the following information in order to produce end-of-year figures for his final accounts.

	$
Sales Ledger balances, January 1, 2010 – Debit	25 260
– Credit	540
Purchases Ledger balances, January 1, 2010 – Debit	350
– Credit	32 130
Total receipts from customers	392 690
Total payments to suppliers	308 160
Purchases on credit	321 100
Sales on credit	412 500
Discount allowed	3 220
Discount received	4 660
Return Inwards	2 100
Return Outwards	1 500
Bad debts written off	2 800
Balance in the Sales Ledger set off against balances in the Purchases Ledger	500
Sales Ledger balance December 31, 2010 – Debit	?
– Credit	360
Purchases Ledger balance December 31, 2010 – Debit	230
– Credit	?

(a) Prepare the Sales Ledger Control Account and the Purchases Ledger Control Account for Mr Best, for the year ended December 31, 2010. **(15 marks)**

(b) Mr Best extracted a Trial Balance on July 31, 2010 which failed to agree by $7 425; a shortage on the debit side of the Trial Balance. A Suspense Account was opened for the difference.

In August 2010 the following errors were discovered.

1. Sales Day Book had been undercast by $4 100.
2. A cheque paying $3 500 to B. Ashton was entered in the Cash Book but not in the Personal Account.
3. Inventory at close was under-valued by $3 900.
4. Discount received of $4 125 from a supplier was not posted to the supplier's account.

Write up the Suspense Account showing the correction of the errors. **(5 marks)**

Total 20 marks

5. E. Sandiford is the owner and operator of Par Excellence Woodcraft Manufacturers, which specializes in building wooden fixtures and furniture. At December 31, 2010, E. Sandiford presented the following information:

		$
Stock at January 1, 2010:	Raw materials	8 000
	Finished goods	29 110
	Work-in-progress	10 500
Stock at December 31, 2010:	Raw materials	6 000
	Finished goods	35 000
	Work-in-progress	22 700
Purchases of raw materials		135 000
Office supplies & stationery		2 800
Packing material		6 500
Factory supplies		1 640
Returns of raw materials		5 700
Office staff salaries		14 800
Wages of factory workers		62 900
Factory manager's salary		28 000
Transportation Costs	- Raw materials	1 300
	- Finished products to customers	2 400
Telephone		3 600
Administrative		2 500
Advertising		600
Warehousing		7 000
Depreciation expense for the year	- Lathe	1 900
	- Office equipment	750
	- Factory machinery & equipment	2 100
Rent		30 000
Electricity		7 200

<u>Note</u>: The electricity and rental costs are apportioned between the factory and the office as follows: Factory - 3/5; Office - 2/5.

(a) Prepare the Manufacturing Account for E. Sandiford's business for the year ended December 31, 2010 clearly identifying totals for:

- Cost of raw materials consumed
- Prime cost
- Factory overheads
- Cost of goods produced **(14 marks)**

(b) Prepare a list of costs incurred by E. Sandiford's office to arrive at total office costs. **(3 marks)**

(c) E. Sandiford made 480 computer tables for the year ended December 31, 2010. Calculate the unit cost of manufacturing one computer table. **(Show all working clearly.)** **(3 marks)**

Total 20 marks

6. (a) J. Collins, owner and operator of Collins' Smart Mart, lost all her stock in a fire on the evening of March 31, 2010. She also lost most of her records in the fire, but was able to piece together the following information:

	$
• Amount owing to suppliers as at January 1, 2010	500
• Payments by cheque, made to suppliers	36 725
• Amount owing to suppliers as at March 31, 2010	1 420
• Cash purchases for February 2010	2 700
• Cash from sales deposited at bank between January 1 to March 31, 2010	82 000
• Closing inventory as at December 31, 2009	85 000

(i) Prepare the Creditors (Total) Account to calculate the amount of credit purchases for the period. **(5 marks)**

(ii) Calculate the total purchases figure for Collins' Smart Mart for the period January 1 to March 31, 2010. **(Show all working clearly.)** **(2 marks)**

(iii) Given that J. Collins normally operates at a gross profit margin of 20%, find the cost of sales for the period January 1 to March 31, 2010. **(Show working.)** **(3 marks)**

(iv) Prepare the Income Statement (Trading Account) for Collins' Smart Mart for the period ended March 31, 2010. Show clearly the value of the inventory (Closing Stock) lost in the fire on March 31, 2010. **(9 marks)**

(b) State the name given to the relationship between gross profit and cost of sales. **(1 mark)**

Total 20 marks

7. Mrs Chin Lee does her own accounts. At the end of the year, December 31, 2010, in preparing her final accounts she makes the decisions stated in (a) (i) - (v) below.

(a) Using a phrase or sentence, state the accounting concept NOT being followed in each of the situations below:

(i) At the end of the year, Mrs Chin Lee owes \$2 000 in wages to an employee. She made no entry for the amount owing.

(ii) Mr Harris, a long-standing customer, promised to make a purchase of \$5 000 early in the next year. This amount was included in sales.

(iii) Mrs Chin Lee uses the straight line method of depreciation on a yearly basis and provides \$4 000 per annum as depreciation on motor vehicles. This year, she changed to the reducing balance method and charged \$5 600 as depreciation on motor vehicles.

(iv) Mrs Chin Lee paid insurance on her house amounting to \$7 500 and recorded it as a business expense.

(v) Mrs Chin Lee changes her stock valuation method every year. **(5 marks)**

(b) Mrs Chin Lee recorded net profit of \$36 500 for the year ended December 31, 2010. With reference to items (a) (i) to (iv) above, prepare a statement of corrected net profit. **(5 marks)**

(c) List THREE **external** users and TWO **internal** users of accounting information and state ONE need of EACH user. **(10 marks)**

Total 20 marks

END OF TEST